



**ETHICS AND ECONOMICS OF INSTITUTIONAL GOVERNANCE**  
**Winter Term 2023/24, 1<sup>st</sup> Trial**

- Please answer **all** questions. Maximum: **60 points**, time to answer the questions: **60 minutes**
- Permitted tools: *non*. In the case of cheating or deception, the exam will be graded as failed.
- Please answer in complete sentences, not bullet points. Indicate the problem number with your answers.

**Problem 1: Lecture 1 & 3 (literature, 30 points)**

In an essay from 2006, Thomas Schelling discusses whether numbers should determine whom to save. (15 points)

- a) What is the ‘moral problem situation’ that has been described by Schelling? (2 points)
- b) Characterize the paradigm change he proposes to solve the problem. What rule does he recommend? (9 points)
- c) He has three main arguments in favor of his recommendation. Please, characterize two of them. (4 points)

In a paper from 2000, Avner Greif discusses “The Fundamental Problem of Exchange” by relying on historical institutional analysis. (15 points)

- d) According to Greif, a lack of trust can prevent mutually profitable exchange between individuals. Please, analyze his arguments with the help of a game-theoretical model. Please, use a specific example of your own choice and specify the players, strategies, payoffs, equilibrium. (10 points)
- e) In his text, Greif discusses historical institutional examples to solve the trust problem. For example, he analyzes how the Maghribi traders' coalition supported trade expansion and market integration in the late medieval period. Please, briefly describe the functionality of this coalition with the help of an appropriate game-theoretical model. (5 points)



**Problem 2: Kidney market (lecture 8, 30 points)**

Modern medicine has made organ transplants possible. While many organs can only be donated after death, kidneys can be donated by living donors. There is an ongoing controversial discussion in science, politics, and society about whether to establish legal markets for kidney transplants. Many people believe that while it should be permissible to donate a kidney for free, selling one should not be allowed. Please, reconstruct the debate by answering the following sub-questions:

- a) Please, reconstruct the status quo in many countries where organs are donated without financial compensation by using a market diagram. Please, provide a brief explanation of the diagram (e.g., satiation amount, number of voluntary donations, etc.). (5 points)
- b) Please, use the same market diagram to also indicate and briefly explain (i) the number of lives that could potentially be saved with a purely market-based solution, and (ii) the number of lives that could potentially be saved with the addition of subsidies in this market. (5 points)
- c) Assume that the introduction of a legal market for kidneys leads to a total crowding-out of free donations. Please, reconstruct this new situation by using a market diagram. What are the effects on e.g., satiation amount, market equilibrium [price and quantity], number of voluntary donations, etc.? (5 points)
- d) Please, take a critical stance on the following argument against kidney markets, which is reconstructed by using the practical syllogism:
  - 1a. Normative Premiss: Human dignity should be inviolable.
  - 1b. Normative Premiss: The state should ban behaviors that undermine human dignity.
  2. Positive Premiss: Whoever person sells one of her two kidneys degrades herself.
  3. Conclusion: The state should ban the sale of kidneys.

Please, reconstruct a possible argument from proponents of market-based solutions for legal kidney exchange using the practical syllogism to counter the previously stated argument. (15 points)